

Commercial & Economic Requirements - Intelligent Invoice Exception Resolution

Budget & Investment

Total Budget Allocated: \$850,000 AUD over 18 months

Budget Breakdown:

Category	Amount	Justification
AWS Infrastructure	\$180,000	Bedrock agents, Lambda, S3, DynamoDB, OpenSearch (18 months)
Professional Services	\$320,000	AWS ProServ for architecture and implementation (6 months)
Integration	\$150,000	SAP and Exchange integration, custom tools (4 months)
Development		
Change	\$80,000	Training, communication, pilot program (6 months)
Management		
Contingency	\$120,000	Risk buffer (14% of total budget)

Budget Approval Status: - Approved by CFO and Finance Committee in Q4 2024 - Board-level approval obtained (required for >\$500K initiatives) - Budget authority delegated to CFO for execution

Multi-Year Investment: - **Year 1** (Months 1-18): \$850K development and implementation - **Year 2:** \$180K operational costs (AWS infrastructure, support) - **Year 3+:** \$150K/year (reduced as team gains expertise)

Funding Source: - **CapEx:** \$650K (infrastructure, professional services, integration) - **OpEx:** \$200K (change management, training, ongoing support) - Transition to full OpEx in Year 2 (cloud operational costs)

Contingency Allocation: - \$120K (14%) reserved for unexpected costs - Requires CFO approval to access contingency funds - Typical usage: scope changes, extended testing, additional training

Cost Modeling & Estimation

Cost Estimation Methodology: - AWS Professional Services provided initial estimates based on similar implementations - Benchmarked against Gartner research on AI automation projects - Added 20% buffer for uncertainty (first agentic AI project)

Understanding of AI/ML Cost Drivers:

Current Understanding (Limited): - Aware that AI models charge per token/API call - Understand storage costs for documents and data - Know compute costs vary by model size and complexity

Uncertainties: - **Token consumption rates:** How many tokens per exception investigation? - **Model selection impact:** Cost difference between Nova vs Claude models? - **Development vs production:** How much higher are production costs? - **Email processing:** Token costs for reading/writing emails? - **Knowledge base:** Cost of vector storage and semantic search?

Estimated Token Consumption (Rough estimates, need validation): - **Per exception investigation:** 5,000-10,000 tokens - Read invoice, PO, GRN data: 1,000 tokens - Search email history: 2,000 tokens - Retrieve contract terms: 1,000 tokens - Decision reasoning: 2,000 tokens - Email generation: 1,000 tokens - **Monthly volume:** 15,000 exceptions $\times$ 7,500 tokens avg = 112.5M tokens - **Estimated cost:** \$0.003 per 1K tokens = \$337.50/month (seems too low?)

Infrastructure Cost Projections (18 months):

Service	Monthly Cost	18-Month Total	Notes
Bedrock (Nova Pro)	\$5,000	\$90,000	Token-based pricing, estimated
Bedrock Knowledge Base	\$2,000	\$36,000	Vector storage + retrieval
Lambda Functions	\$1,500	\$27,000	Agent orchestration, integrations
S3 Storage	\$500	\$9,000	Documents, logs, artifacts
DynamoDB	\$800	\$14,400	Session state, audit logs
OpenSearch	\$1,200	\$21,600	Email search, pattern analysis
Data Transfer	\$500	\$9,000	SAP/Exchange integration

Service	Monthly Cost	18-Month Total	Notes
CloudWatch/X-Ray	\$300	\$5,400	Monitoring, logging, tracing
Secrets Manager	\$100	\$1,800	API keys, credentials
VPN/PrivateLink	\$600	\$10,800	Secure connectivity to on-premise
Total	\$12,500	\$225,000	Includes 25% buffer

Note: Allocated \$180K in budget, may need to optimize or access contingency

Licensing & Subscription Costs: - **SAP OData API:** Included in existing SAP license (no additional cost) - **Microsoft Graph API:** Included in Office 365 E3 license (no additional cost) - **AWS Support:** Business Support plan (\$100/month minimum, likely higher) - **Third-party tools:** None planned (using AWS-native services)

Professional Services Budget: - **AWS ProServ:** \$320K for 6 months (2 architects, 1 ML specialist) - Architecture design: 4 weeks - Agent development: 12 weeks - Integration implementation: 8 weeks - Testing and optimization: 4 weeks - Knowledge transfer: 4 weeks

Hidden/Overlooked Costs: - **Data migration:** Moving 2 years of email history to S3 (not budgeted) - **SAP test environment:** May need dedicated test instance for integration testing - **Increased Exchange API usage:** Potential licensing implications for high-volume API calls - **Supplier communication:** Potential need to notify suppliers about AI (legal review costs) - **Insurance:** AI-specific liability insurance (not yet priced)

Operational Costs & Sustainability

Ongoing Operational Costs (Year 2 onwards, annual):

Category	Annual Cost	Notes
AWS Infrastructure	\$120,000	Reduced from Year 1 as we optimize
AWS Support	\$15,000	Business Support plan

Category	Annual Cost	Notes
Monitoring & Observability	\$10,000	CloudWatch, third-party APM tools
Agent Maintenance	\$25,000	Prompt refinements, capability updates
Training & Upskilling	\$20,000	Ongoing AP team training
Compliance & Audit	\$15,000	Quarterly audits, bias assessments
Contingency	\$15,000	10% buffer for unexpected costs
Total	\$220,000	Decreases to \$150K in Year 3

Model Inference Volume Estimates: - **Exceptions per month:** 15,000 (current), decreasing to 10,000 (Year 2) as agents improve processes - **Tokens per exception:** 7,500 average (investigation + communication + decision) - **Monthly token volume:** 75M tokens (Year 2, reduced from 112.5M) - **Annual token cost:** \$2,700 (seems low, need validation)

Data Storage Costs: - **Invoice PDFs:** 50,000/month $\times$ 500KB avg = 25GB/month = 300GB/year - **Email archives:** 2 years historical + ongoing = 500GB total - **Agent logs:** 100MB/day $\times$ 365 days = 36GB/year - **Vector embeddings:** 500K documents $\times$ 1KB avg = 500MB - **Total S3 storage:** ~1TB, cost ~\$25/month (\$300/year)

Data Transfer Costs: - **SAP integration:** 15,000 exceptions $\times$ 10KB data = 150MB/month (negligible) - **Exchange integration:** 15,000 emails $\times$ 50KB avg = 750MB/month (negligible) - **Egress to on-premise:** Minimal (mostly API calls, not large data transfers) - **Estimated:** \$500/month (\$6,000/year)

Cost Optimization Strategies:

- FinOps Practices (Planned):**
 - Monthly cost review meetings with IT and Finance
 - Tag all resources by project and cost center
 - Set up AWS Cost Anomaly Detection alerts
 - Quarterly optimization reviews (right-sizing, reserved capacity)
- Specific Optimizations:**
 - Use S3 Intelligent-Tiering for document storage (30% savings)
 - Implement Lambda reserved concurrency for predictable workloads
 - Use Bedrock batch inference for non-urgent exceptions (lower cost)
 - Archive old logs to S3 Glacier after 90 days (80% savings)

- Optimize token usage through prompt engineering (target 20% reduction)

3. Cost Controls:

- Set AWS Budget alerts at 80%, 90%, 100% of monthly budget
- Implement resource tagging policy for cost allocation
- Monthly cost reports to CFO and project sponsor
- Quarterly cost optimization reviews

Long-Term Sustainability: - **Year 1:** High costs due to development and learning - **Year 2:** Costs stabilize as we optimize and reduce exception volume - **Year 3+:** Costs decrease as team expertise grows and exception rate drops to 20% - **Break-even:** Month 24 (cumulative savings exceed cumulative costs)

Return on Investment (ROI)

Expected ROI: 185% over 3 years

Payback Period: 24 months

ROI Calculation Methodology: - **Total Investment:** \$850K (Year 1) + \$220K (Year 2) + \$150K (Year 3) = \$1,220K - **Total Benefits:** \$2,260K over 3 years (see breakdown below) - **Net Benefit:** \$2,260K - \$1,220K = \$1,040K - **ROI:** ($\$1,040K / \$1,220K$) $\times 100\%$ = 85% (conservative estimate)

Quantifiable Benefits:

1. **Labor Cost Savings** (Primary benefit)
 - **Current state:** 15 AP clerks $\times$ \$80K avg salary = \$1,200K/year
 - **Future state:** 9 AP clerks (6 FTE reduction) = \$720K/year
 - **Annual savings:** \$480K
 - **3-year savings:** \$1,440K
 - **Assumption:** 40% workload reduction, 6 FTE redeployed to strategic vendor management
2. **Faster Exception Resolution** (Working capital benefit)
 - **Current:** 3-4 days average resolution time
 - **Future:** 8 hours average resolution time
 - **Benefit:** Faster payment processing improves cash flow management
 - **Value:** \$50K/year (reduced borrowing costs, better cash forecasting)
 - **3-year value:** \$150K
3. **Improved Supplier Relationships** (Discount capture)
 - **Current:** Miss 40% of early payment discounts due to slow exception resolution
 - **Future:** Capture 80% of early payment discounts (2% for payment within 10 days)
 - **Annual invoice value:** \$60M
 - **Eligible for discount:** \$20M (33% of invoices)
 - **Current capture:** $\$20M \times 60\% \times 2\% = \$240K$
 - **Future capture:** $\$20M \times 80\% \times 2\% = \$320K$
 - **Annual benefit:** \$80K

- **3-year benefit:** \$240K
- 4. **Reduced Error Correction Costs**
 - **Current:** 6% error rate in manual exception handling = 900 errors/month
 - **Error correction cost:** \$100/error (staff time, supplier communication, rework)
 - **Current cost:** $900 \times \$100 \times 12 = \$1,080\text{K}/\text{year}$
 - **Future:** 1% error rate with agent processing = 150 errors/month
 - **Future cost:** $150 \times \$100 \times 12 = \$180\text{K}/\text{year}$
 - **Annual savings:** \$900K (seems high, need validation)
 - **Conservative estimate:** \$150K/year (assuming 50% error reduction)
 - **3-year savings:** \$450K

Total Quantifiable Benefits: $\$1,440\text{K} + \$150\text{K} + \$240\text{K} + \$450\text{K} = \$2,280\text{K}$ over 3 years

Qualitative Benefits (Not included in ROI calculation):

1. **Improved Vendor Satisfaction**
 - Faster, more professional communication
 - Consistent decision-making
 - Reduced payment delays
 - **Value:** Difficult to quantify, but improves negotiating position
2. **Enhanced Compliance & Audit Readiness**
 - Complete audit trail for all decisions
 - Explainable AI decisions
 - Reduced audit findings
 - **Value:** Reduced audit costs, lower compliance risk
3. **Employee Satisfaction**
 - AP team shifts from repetitive work to strategic vendor management
 - Reduced frustration with manual follow-ups
 - Career development opportunities (agent supervision skills)
 - **Value:** Reduced turnover, improved morale
4. **Competitive Advantage**
 - Early adopter of agentic AI in finance operations
 - Demonstrates innovation to customers and partners
 - Attracts top talent interested in AI
 - **Value:** Reputational benefit, talent acquisition
5. **Scalability**
 - Can handle invoice volume growth without proportional headcount increase
 - 20% annual growth in invoices absorbed by agents
 - **Value:** Avoided future hiring costs

ROI Measurement & Tracking: - **Monthly:** Track exception resolution time, autonomous resolution rate, error rate - **Quarterly:** Calculate cumulative cost savings vs investment - **Annually:** Comprehensive ROI review with CFO

and steering committee - **Dashboard:** Real-time ROI tracking dashboard for stakeholders

Sensitivity Analysis:

Scenario	Assumption Change	ROI Impact
Pessimistic	Only 4 FTE reduction (not 6)	ROI drops to 45%
Realistic	6 FTE reduction, 50% error reduction	ROI = 85% (base case)
Optimistic	7 FTE reduction, 60% error reduction	ROI increases to 125%

Risk Scenarios: - **Agent underperforms:** If autonomous resolution rate is only 50% (not 70%), ROI drops to 35% - **Higher AWS costs:** If infrastructure costs are 50% higher than estimated, ROI drops to 65% - **Delayed implementation:** Each 3-month delay reduces 3-year ROI by 10%

Resource Allocation

Project Team Composition:

Role	FTE	Duration	Cost	Notes
Project Manager	1.0	12 months	\$150K	Internal resource, experienced with IT projects
Business Analyst	1.0	6 months	\$90K	Document requirements, UAT coordination
Solution Architect	0.5	12 months	\$100K	Internal IT architect, 50% allocation
Integration Developer	2.0	6 months	\$180K	SAP and Exchange integration specialists
QA/Test Lead	1.0	4 months	\$60K	Test planning, execution, automation
Change Manager	0.5	12 months	\$75K	Training, communication, adoption

Role	FTE	Duration	Cost	Notes
AP Subject Matter Expert	0.3	12 months	\$36K	Domain expertise, 30% allocation
AWS ProServ	3.0	6 months	\$320K	External consultants (included in budget)

Total Internal Resources: 6.3 FTE (blended across 12 months)

Total External Resources: 3.0 FTE (AWS ProServ for 6 months)

Resource Availability: - **Project Manager:** Dedicated 100%, no competing priorities - **Business Analyst:** Dedicated 100% for 6 months - **Solution Architect:** 50% allocation, also supporting CRM upgrade project - **Integration Developers:** Contractors hired specifically for this project - **QA/Test Lead:** Dedicated during testing phase (months 7-10) - **Change Manager:** 50% allocation, also supporting other change initiatives - **AP SME:** 30% allocation, continues normal AP duties

Competing Priorities: - **CRM Upgrade Project:** Shares solution architect (30% capacity conflict) - **Month-End Close:** AP SME availability reduced during month-end (5 days/month) - **Annual Audit:** QA lead may be pulled for audit support (2 weeks in Q2)

Mitigation for Resource Conflicts: - Hire additional contractor if solution architect capacity becomes critical - Schedule intensive work phases outside month-end periods - Build buffer into timeline for audit season

Backfill Plans: - **AP SME:** Temporary contractor to cover 30% of normal duties (\$30K) - **Solution Architect:** No backfill, other projects absorb 50% capacity - **Change Manager:** No backfill, other change initiatives slightly delayed

Ramp-Up Plan: - **Months 1-2:** Core team (PM, BA, Architect) + AWS ProServ onboarding - **Months 3-6:** Full team including developers and QA - **Months 7-10:** Testing phase, reduced development team - **Months 11-12:** Pilot and rollout, change management focus

Ramp-Down Plan: - **Month 10:** Developers roll off after integration complete - **Month 11:** QA lead rolls off after UAT complete - **Month 12:** AWS ProServ knowledge transfer complete - **Month 13+:** Ongoing support by internal team (0.5 FTE)

Cost-Benefit Analysis

Current State Costs (Annual):

Category	Annual Cost	Notes
AP Team Salaries	\$1,200K	15 FTE $\times$ \$80K average
ERP Licenses	\$80K	SAP user licenses for AP team
Infrastructure	\$120K	On-premise servers, storage, network
Error Correction	\$300K	Rework, supplier disputes, audit findings
Late Payment Penalties	\$50K	Missed payment deadlines
Missed Discounts	\$80K	Early payment discounts not captured
Total	\$1,830K/year	Baseline operational cost

Future State Costs (Annual, Year 2 onwards):

Category	Annual Cost	Notes
AP Team Salaries	\$720K	9 FTE $\times$ \$80K average
ERP Licenses	\$48K	Reduced licenses (9 users)
AWS Infrastructure	\$120K	Cloud operational costs
Agent Maintenance	\$25K	Prompt updates, capability enhancements
Support & Training	\$20K	Ongoing training and support
Error Correction	\$180K	Reduced error rate
Late Payment Penalties	\$10K	Faster resolution reduces penalties
Missed Discounts	\$0K	Capture 80% of discounts

Category	Annual Cost	Notes
Total	\$1,123K/year	39% reduction from current state

Net Annual Savings: \$1,830K - \$1,123K = \$707K/year (Year 2 onwards)

Efficiency Gains: - **Exception resolution time:** 3-4 days → 8 hours (80% reduction) - **Autonomous resolution:** 0% → 70% (reduces manual workload) - **Error rate:** 6% → 1% (83% reduction) - **AP team capacity:** 40% freed for strategic work

Productivity Improvements: - **AP clerks:** Shift from transactional work to strategic vendor relationship management - **Procurement team:** Better visibility into exception patterns for contract negotiations - **Finance team:** Faster month-end close due to reduced open exceptions

Time Savings: - **Per exception:** 3-4 days → 8 hours (saves 2.5 days per exception) - **Monthly time saved:** 15,000 exceptions × 70% autonomous × 2.5 days = 26,250 days - **Equivalent FTE:** 26,250 days / 220 working days = 119 FTE-days/month = 6 FTE

Customer Experience (Supplier perspective): - **Faster responses:** 2-hour email response time (vs 1-2 days currently) - **Professional communication:** Consistent, well-written emails - **Predictable resolution:** Clear timelines and expectations - **Improved satisfaction:** Target 85/100 (from 72/100 currently)

Risk Reduction: - **Compliance risk:** Complete audit trail reduces audit findings - **Financial risk:** Lower error rate reduces overpayments - **Relationship risk:** Faster, more professional communication improves vendor relationships

Financial Governance & Controls

Budget Tracking & Reporting: - **Frequency:** Monthly budget vs actual reports to CFO and project sponsor - **Tool:** Project accounting in SAP (dedicated cost center) - **Variance Analysis:** Investigate any variance >10% - **Forecast:** Rolling 3-month forecast updated monthly

Approval Thresholds: - <\$10K: Project Manager approval - \$10K-\$50K: CFO approval - >\$50K: CFO + Finance Committee approval - **Contingency access:** CFO approval required

Escalation Paths: - **Budget variance >10%:** Escalate to CFO within 5 business days - **Scope change impacting budget:** Escalate to steering committee - **Risk to timeline/budget:** Escalate to project sponsor immediately

Cost Allocation Model: - **Development costs:** Allocated to Finance department (100%) - **Ongoing operational costs:** Allocated to Finance department

(80%), IT department (20%) - **Chargeback**: Not planned initially, may implement in Year 2 if other departments adopt agents

Financial Audit Requirements: - **Internal audit**: Quarterly review of project spending - **External audit**: Annual financial statement audit includes project costs - **Compliance**: All spending must comply with procurement policies

Budget Flexibility: - **Contingency**: \$120K available for approved scope changes - **Reallocation**: Can reallocate up to 10% between budget categories with CFO approval - **Additional funding**: Requires business case and Finance Committee approval

Cost Optimization Governance: - **Monthly reviews**: IT and Finance review AWS costs and optimization opportunities - **Quarterly targets**: 5% cost reduction target each quarter (Year 2 onwards) - **FinOps team**: Establish FinOps practice in IT department (Year 2)

Economic Viability & Market Factors

Market Conditions: - **Economic outlook**: Moderate growth expected in Australia (2-3% GDP growth) - **Interest rates**: Elevated but stabilizing (impacts working capital costs) - **Labor market**: Tight labor market, difficult to hire skilled AP staff - **Technology trends**: Rapid adoption of AI in finance operations

Competitive Pressure: - **Urgency**: Medium - competitors are exploring AI, but no one has deployed at scale yet - **First-mover advantage**: Opportunity to differentiate and attract top talent - **Risk of delay**: If we wait 2 years, competitors may have mature AI capabilities

Opportunity Cost of Not Transforming: - **Continued high operational costs**: \$1,830K/year vs \$1,123K/year (future state) - **Lost efficiency**: 40% of AP team capacity remains on manual work - **Talent retention**: Risk losing younger staff who want to work with AI - **Competitive disadvantage**: Fall behind competitors in operational efficiency

Alternative Investment Options Considered:

1. **Traditional RPA** (Rejected)
 - **Cost**: \$300K implementation + \$50K/year operational
 - **Benefit**: 20% efficiency gain (vs 40% with agentic AI)
 - **Limitation**: Cannot handle exceptions requiring judgment
 - **Decision**: Insufficient ROI, doesn't solve core problem
2. **Hire More AP Staff** (Rejected)
 - **Cost**: 5 additional FTE $\times$ \$80K = \$400K/year
 - **Benefit**: Faster exception resolution through more manual effort
 - **Limitation**: Doesn't improve efficiency, scales linearly
 - **Decision**: Not sustainable, doesn't address root cause

3. Outsource AP Function (Rejected)

- **Cost:** \$1,200K/year (outsourcing provider quote)
- **Benefit:** Transfer operational burden
- **Limitation:** Loss of control, data security concerns, no innovation
- **Decision:** Doesn't align with digital transformation strategy

4. Do Nothing (Rejected)

- **Cost:** \$0 upfront, but \$1,830K/year ongoing
- **Benefit:** No change management risk
- **Limitation:** Continued inefficiency, competitive disadvantage
- **Decision:** Not viable given strategic objectives

Economic Sensitivity: - **Recession scenario:** If invoice volume drops 20%, still achieve positive ROI (reduced to 45%) - **Inflation scenario:** If labor costs increase 10%, ROI improves (higher savings from FTE reduction) - **Interest rate scenario:** If rates increase, working capital benefit increases (faster resolution more valuable)

Long-Term Strategic Value: - **Platform for future AI:** Establishes foundation for AI in other finance processes (expense management, contract analysis) - **Organizational learning:** Builds AI capability and culture - **Talent attraction:** Positions organization as innovative employer - **Vendor relationships:** Improved relationships enable better contract negotiations - **Scalability:** Can handle 50% invoice growth without proportional cost increase

Break-Even Analysis: - **Cumulative investment:** \$850K (Year 1) + \$220K (Year 2) = \$1,070K - **Cumulative savings:** \$0 (Year 1) + \$707K (Year 2) = \$707K - **Break-even:** Month 24 (Year 2, Month 6) - **Sensitivity:** If savings are 20% lower, break-even extends to Month 30

Additional Commercial Details

Detailed Token Cost Modeling: - **Per Exception Investigation** (7,500 tokens average): - Read invoice/PO/GRN data: 500 tokens (structured data) - Search email history: 2,000 tokens (semantic search + context) - Retrieve contract terms: 1,500 tokens (PDF extraction) - Decision reasoning: 2,500 tokens (multi-step reasoning) - Email generation: 1,000 tokens (draft + refinement) - **Monthly Volume:** - 15,000 exceptions $\times$ 7,500 tokens = 112.5M tokens - Bedrock Nova Pro pricing: \$0.008 per 1K input tokens, \$0.032 per 1K output tokens - Assume 70% input, 30% output: $(112.5M \times 0.7 \times \$0.008) + (112.5M \times 0.3 \times \$0.032) = \$630 + \$1,080 = \$1,710/\text{month}$ - **Annual token cost:** \$20,520 - **Knowledge Base Retrieval:** - 15,000 queries $\times$ \$0.10 per query = \$1,500/month - **Annual cost:** \$18,000 - **Total AI/ML Cost:** \$38,520/year (vs \$60,000 budgeted, 36% buffer) - **Validation:** AWS ProServ confirmed estimates are reasonable based on similar implementations

AWS Pricing Optimization: - **Compute Savings Plans:** Not applicable (serverless Lambda and Bedrock usage) - **Reserved Capacity:** Not available for Bedrock (pay-per-use only) - **Volume Discounts:** Bedrock pricing tiers (>100M

tokens/month gets 10% discount) - Current volume: 112.5M tokens/month (just above threshold) - **Estimated discount:** \$2,000/year - **S3 Intelligent-Tiering:** Automatic cost optimization for document storage - **Estimated savings:** 30% on storage costs (\$3,000/year) - **DynamoDB On-Demand:** Pay-per-request pricing (no reserved capacity needed) - **Total Optimization:** ~\$5,000/year savings (included in budget estimates)

SAP API Licensing: - **Confirmed with SAP:** OData API usage included in existing S/4HANA license - **No additional costs** for high-volume API usage (up to 10,000 calls/hour) - **Current usage:** ~1,000 calls/hour (well within limits) - **Future growth:** Can scale to 5x volume before hitting limits

Exchange API Limits: - **Microsoft Graph API:** Included in Office 365 E3 license (no additional cost) - **Rate Limits:** 10,000 API calls per 10 minutes (sufficient for our volume) - **Current usage:** ~300 calls/day (well within limits) - **Throttling:** No throttling concerns at current or projected volumes - **Cost Impact:** \$0 (no additional licensing required)

Data Migration Costs: - **Email History** (2 years, ~500K emails): - Export and conversion: \$1,000 (automated tools) - S3 storage: \$500/year - OpenSearch indexing: \$1,000 (one-time) - **Total:** \$2,500 - **Exception History** (2 years, ~360K exceptions): - Export and transformation: \$500 (automated scripts) - DynamoDB storage: \$200/year - **Total:** \$700 - **Invoice PDFs** (7 years, ~4.2M invoices): - S3 storage: \$10,000/year - Transfer costs: \$2,000 (one-time) - **Total:** \$12,000 - **Grand Total:** \$15,200 (included in \$180K infrastructure budget)

Insurance Pricing: - **Cyber Insurance:** Existing \$5M policy covers AI-related incidents (no additional cost) - **AI-Specific Liability:** Quoted \$15K/year for \$2M coverage - Covers errors in autonomous decisions - Covers data breaches from AI systems - Covers reputational harm from AI failures - **Professional Liability:** Existing \$10M policy covers automated financial decisions (no additional cost) - **Total Additional Insurance:** \$15K/year (not in original budget, will use contingency)

Redeployment Costs: - **6 FTE Redeployment** (from AP clerk to strategic roles): - **Training:** \$5K per person $\times 6 = \$30K$ - Strategic vendor management (2-week course) - Contract negotiation skills (1-week course) - Data analysis and reporting (1-week course) - **Productivity Ramp:** 3-month learning curve (50% productivity) - Lost productivity: $6 \text{ FTE} \times 3 \text{ months} \times 50\% \times \$80K/12 = \$60K$ - **Salary Increases:** \$10K per person $\times 6 = \$60K/\text{year}$ (agent supervisor premium) - **Total Redeployment Cost:** \$150K (Year 1), \$60K/year ongoing - **Note:** Included in labor cost savings calculation (9 FTE at higher salary vs 15 FTE at current salary)

Supplier Notification Costs: - **Legal Review:** \$5K (2 weeks of legal counsel time) - Review Australian Privacy Act requirements - Draft supplier notification email - Review contract clause updates - **Communication:** \$2K - Email campaign to 200 suppliers - Website updates - FAQ document creation - **Opt-Out Management:** \$1K/year - Flag opt-out suppliers in vendor master data

- Quarterly review and outreach - **Total:** \$8K (one-time), \$1K/year ongoing (included in change management budget)

Ongoing Model Costs: - **Bedrock Pricing Stability:** AWS has committed to stable pricing for 12 months (confirmed) - **Expected Changes:** - **Year 1:** Current pricing (\$0.008/\$0.032 per 1K tokens) - **Year 2:** Potential 10-20% decrease (historical trend for AI services) - **Year 3:** Potential 20-30% decrease (continued commoditization) - **Risk Mitigation:** - Budget includes 25% buffer for price increases - Can switch to alternative models (Claude, Llama) if pricing changes significantly - Monitor AWS pricing announcements quarterly - **Upside Scenario:** If prices decrease 20% by Year 3, save \$8K/year

Scale Economics: - **Expansion to Other Finance Processes:** - **Expense Management:** 10,000 expense reports/month, similar exception rate - Incremental cost: \$15K/year (shared infrastructure) - Incremental savings: \$200K/year (2 FTE reduction) - **Incremental ROI:** 1,233% - **Contract Analysis:** 500 contracts/year, manual review takes 4 hours each - Incremental cost: \$10K/year - Incremental savings: \$150K/year (1 FTE reduction) - **Incremental ROI:** 1,400% - **Vendor Onboarding:** 50 new vendors/year, manual process takes 8 hours each - Incremental cost: \$5K/year - Incremental savings: \$30K/year (0.5 FTE reduction) - **Incremental ROI:** 500% - **Platform Benefits:** - Shared infrastructure (S3, DynamoDB, Bedrock) reduces marginal cost - Reusable agent patterns and tools accelerate development - Organizational AI capability enables faster future implementations - **3-Year Expansion Plan:** - **Year 1:** Invoice exception handling (current project) - **Year 2:** Expense management (high ROI, similar process) - **Year 3:** Contract analysis (strategic value, moderate ROI) - **Cumulative ROI** (3 processes over 3 years): 350% (vs 85% for invoice processing alone)